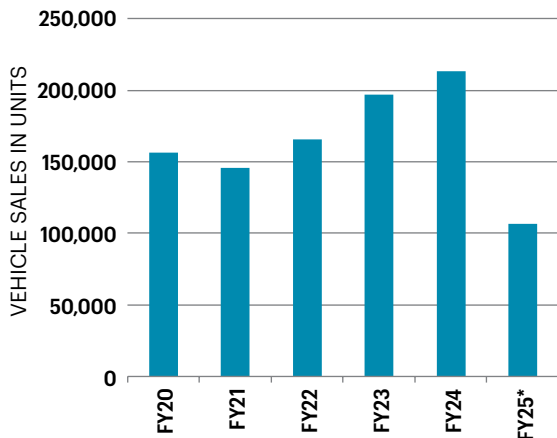


SURGE IN SALES

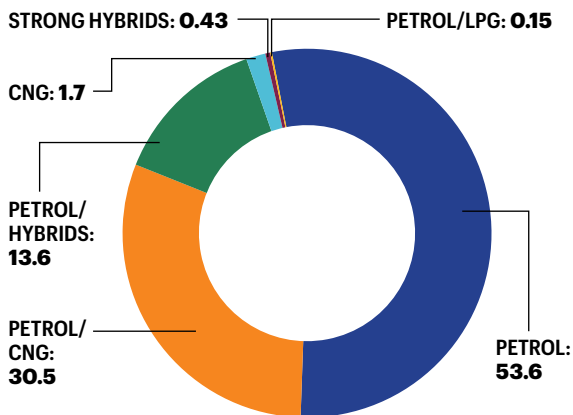
➤ Maruti Suzuki's domestic sales in FY24 stood at 1.85 million units ➤ The company plans to export 1 million units by 2030



*DATA TILL SEPTEMBER 2024 **SOURCE** MARUTI SUZUKI

PETROL LEADS

➤ In FY24, petrol continued to dominate Maruti's portfolio ➤ By 2030, the firm expects EVs to account for 15% of its portfolio, from zero at present



SOURCE VAHAN

60 |

fuel prices, CNG options have allowed Maruti to continue to attract cost-conscious customers," notes Sharma of Nomura.

Meanwhile, the company has also remained bullish on its hybrid portfolio, which accounts for about 16% of sales. "We are seeing reasonably good growth in hybrid vehicles. We are almost going at a growth rate of 30% this year with strong hybrids," says Banerjee.

Meanwhile, the company remains committed to introducing its first EV model, the eVX, in January. It is looking to have 15% penetration by 2030.

According to Bhargava, the recent slowdown in EVs in both the global and domestic markets is a blip. "These are new vehicles that people have yet to adjust to and understand and see how best to use them. So some kind of fluctuation in demand is not totally unexpected," Bhargava said at the AGM.

According to Nomura's Shar-

ma, with an initial expected price advantage, Maruti's EV can target the budget-sensitive segment, potentially capturing sizeable market share. "Maruti plans to leverage its expertise in cost-effective small-car manufacturing, providing affordable EV options in a segment underserved by competitors. This can drive further sales growth, cementing its leadership in a market transitioning towards electric mobility," says Sharma.

EXPANSION PLANS

In FY24, the company became the largest automobile exporter for the third consecutive year. It exported about 280,000 units in FY24. In the first half of FY25, the company's exports surged 11.8% to 148,276 units as against 132,542 units in the corresponding period in FY24. In FY25, the company is targeting sales of 300,000 units.

Analysts observe that Maruti has a growing export base, with

over 200,000 units shipped in 2023. "Expanded production capacity allows Maruti to target export markets more effectively, especially in regions like Africa and Latin America, contributing to overall revenue growth," says Nomura's Sharma.

On the production front, the company's plant in Kharkhoda, Gujarat, which has a capacity to produce 2 million units, will become operational early next year. It already has a production capacity of 2.25 million units at its plant in Manesar, Haryana, which it plans to increase to 4 million units by FY31. It is also scouting for land for a third plant.

Going ahead, Maruti Suzuki will hope that the increase in production, multiple powertrain strategy, and cost management will help it increase its market share, boost market capitalisation, and give investors more reason to cheer. **BT**

@OrielaAtha11